

Madison Square Garden Company (“MSG”) is a fully-integrated sports, entertainment, and media company that owns prime assets such as the New York Knicks basketball franchise, New York Rangers hockey franchise, and the Madison Square Garden Arena. The company coordinates its businesses between three segments—MSG Sports, MSG Media, and MSG Entertainment—and is controlled by the owner-operator Dolan Family.

The MSG Media segment currently contributes the vast majority of the company’s consolidated operating cash flow and is comprised of regional sports television networks. These networks generate revenues primarily from affiliate fees, but also from advertising. The MSG Entertainment segment earns revenue from ticket sales to live audience (non-sports) events in addition to concessions, merchandise, and sponsorship fees. The MSG Sports segment earns fees from ticket sales and promotion of suite licenses at sporting events, concessions, and merchandise, in addition to various league-wide revenues received from team ownership.

The adjusted operating cash flow generated by the company over the trailing twelve month period ended September 30, 2014 was \$323 million. This, compared to a company enterprise value of approximately \$4.8 billion (also as of 9/30/14), equates to a cash flow multiple of slightly less than 15x. This may appear to be an appropriate or “fair” multiple, but the reported cash flow fails to consider the economic value of its two premier sports franchises and the 1.1 million square foot venue in the largest U.S. entertainment market. Compare the recent sale of the Los Angeles Clippers for \$2.0 billion to the trailing adjusted cash flow of the *entire* MSG Sports segment at a 15x multiple (which comes to \$435 million). It is perhaps reasonable to assign even higher values for the New York franchises given their respective market sizes.

In late October the company announced board approval to explore a potential spin-off of the entertainment segment, likely with the intention of achieving a market multiple for the sports franchises.

- **Valuation:** As of November 24, 2014, MSG traded at an adjusted cash flow to enterprise value multiple of approximately 17.4x, which fails to reflect the economics of the sports franchises.
- **Index ownership:** Not held in the S&P 500 Index, Russell 2000 Index, or S&P 400 Midcap Index.
- **Revenue growth:** 7.9% compound annual growth rate, or CAGR, over the past five years while increasing net margin.
- **Balance Sheet:** No debt as of September 2014.
- **Share repurchases:** \$500 million authorized on 10/27/14
- **Number of analyst estimates:** 13
- **Selected Predictive Attributes:**
 - o Owner-operator management: The Dolan Family owns approximately 70% of the voting rights.
 - o Spin-Off: MSG was spun off from Cablevision Systems in early 2010 and has recently received board approval to explore a new spin-off of the entertainment segment.

IAC/InterActive Corp. ("IAC") is an owner-operated media and internet company with more than 150 brands and products. The company reports results based upon four operating segments: The Match Group, which includes various dating services, including Match.com, Tinder, and OkCupid; Search & Applications, which includes search-based sites including About.com and Ask.com; Media, which includes video sharing services Vimeo, as well as various additional media content; and ecommerce, which includes Home Advisor and Shoebuy amongst various businesses. The investment case for IAC lies primarily in the Dating segment within The Match Group, which is growing monthly average users (MAUs) at 60% year over year. Much of this growth is driven by the mobile Tinder service that is growing MAUs at 7x year over year. While Tinder has driven MAU growth, it has not contributed materially to profitability due to management's delay of the monetization effort until the 4th quarter of 2014.

Investor enthusiasm for the dating business is high, but IAC's share price is constrained due to the currently larger Search & Applications business that is in decline and facing structural challenges. In order to evaluate the investment opportunity, we value The Match Group individually based on management's target EBITDA¹ (which we believe to be conservative) for 2016 of \$500 million. This target EBITDA is achieved by assuming that Tinder MAUs double annually through 2016 (as opposed to 7x current growth) and monetization is equal to 2/3 the rate experienced at OkCupid. If we allocate the estimated corresponding corporate expenses of \$20 million, we arrive at an estimated net EBITDA of \$480 million, to which we can apply a conservative 12x multiple, and reach an enterprise value of approximately \$5.76 billion. We must then discount this 2016 figure to present value at a 10% discount rate to achieve a current value of approximately \$4.76 billion. This can be compared to the current IAC enterprise value of approximately \$5.2 billion, leaving a stub value for the remaining businesses of \$440 million, which is less than 2x the net EBITDA of the remaining businesses. The current purchase price enables investors to purchase a high quality, high growth business at a "fair" multiple, while paying less than 2x EBITDA for the remaining businesses.

- **Index ownership:** Not held in the S&P 500 Index, Russell 2000 Index, or S&P 400 Midcap Index.
- **Revenue growth:** 3.35% over the trailing twelve month period
- **Balance Sheet:** Debt and minority interest less than \$75 million greater than cash balance
- **Share repurchases:** 1.645 million shares repurchased in 2014 for \$96 million (8.5 million shares authorized)
- **Number of analyst estimates:** 17
- **Selected Predictive Attributes:**
 - Owner-operator management: Barry Diller owns 100% of the class B shares, resulting in voting control of over 43%.
 - Spin-Off: IAC has a rich history of shareholder-oriented spin-offs, including Expedia (2005) TicketMaster (2008), Lending Tree (2008), HSN Inc. (2008), and Interval Leisure Group (2008). There is also the potential for a spin-off of The Match Group, with unknown timing.
 - Dormant Asset: Tinder monetization efforts did not begin until the Q4 2014; hence, the value is not reflected in current cash flows. Incremental EBITDA of \$250 million is feasible by 2016.

¹ Earnings before interest, taxes, depreciation, and amortization

Source: Horizon Kinetics Research, Company Reports, Bloomberg, FactSet. See important disclosures at the back.

Time Warner Inc. (“TWX”) is a leading media and entertainment company with a focused, content-driven business model. While not owner-operated, the company has operated in a very shareholder-oriented manner, as evidenced by approximately \$25 billion of capital returned to shareholders since 2009. Furthermore, the company has engaged in three recent shareholder-friendly spin-off transactions including Time Warner Cable (2007), AOL (2009) and Time Inc. (2014). The current business model can be separated into three operating segments: Turner, Home Box Office (“HBO”) and Warner Brothers (“WB”). Turner primarily consists of the company’s cable networks, such as TBS, TNT, Cartoon Network, CNN, and HLN. HBO is primarily comprised of premium pay television services domestically and premium pay, in addition to basic tier television services internationally under the HBO and Cinemax families of channels. WB’s businesses produce and distribute films, television shows and video games, as well as distribute home video products and license various forms of company content.

Time Warner has various lines of businesses that share the commonality of owning media content that is being accessed through an expanding array of devices. While this appears to be a challenge for various distributors, those who control the content have the ability to monetize it across more channels. This is in fact an opportunity for Time Warner, which, when combined with international expansion and efficiency, increases opportunities, leading management to project visibility to achieving \$8 per share in adjusted earnings for 2018. If we apply the current trailing price to earnings multiple of 18.5x to this figure, we arrive at an equity value in 2018 of \$148 per share, which when discounted to present value at a 10% rate, amounts to over \$101 per share. Similarly, the company is currently valued at slightly less than 14x its trailing operating income, resulting in a current yield of over 7%, which when combined with the current dividend, reaches a total yield of over 8.5% (not including share repurchases).

Time Warner represents a very attractive risk adjusted investment opportunity considering the generous current total yield, while also offering substantial upside given management’s visibility towards adjusted earnings of \$8 in 2018. The company is likely to continue its generous share repurchase program and periodically explore further spin-off and acquisition opportunities.

- **Index ownership:** 0.38% weight in the S&P 500 Index
- **Free cash flow growth:** 24.4% (2013 year-over-year)
- **Balance Sheet:** Net debt of less than 3x trailing operating income
- **Share repurchases:** \$4.481 billion through the first 9 months of 2014
- **Number of analyst estimates:** 37
- **Selected Predictive Attributes:**
 - Spin-Off: Three notable spin-offs dating back to 2007–Time Warner Cable, AOL, and Time Inc.
 - Terms of Trade & Scalability: The pricing power and scale of “content” business exemplified by the 680 basis point expansion in adjusted operating margin between 2008 and 2013.

Source: Horizon Kinetics Research, Company Reports, Bloomberg, FactSet. See important disclosures at the back.

The Howard Hughes Corporation (“HHC”) is a developer and manager of commercial, residential, and mixed use real estate assets. The company was spun off from General Growth Properties, Inc. (ticker: GGP) in 2010 as part of GGP’s reorganization. At that time, Howard Hughes was trading at a significant discount (as much as ~50%) to book value, and the book value itself represented assets recorded at valuations far below fair value. For example, the South Street Seaport property in lower Manhattan was carried at approximately \$3 million on the balance sheet at that time—about the price of a decent sized apartment in that area. In fact, the current book value multiple of approximately 2.6x represents a considerable discount to fair value, even when using GGP current multiple of 3.5x. GGP is a good, albeit, not ideal comparable, as the company’s real estate portfolio was restated at “fair” book value during the reorganization. Our original investment was based on the thesis that the land and property portfolio was worth significantly more than the market capitalization of the company, and that the very purpose of the spin-off was to properly develop these properties, a number of them having unusually significant redevelopment value. Early support for this thesis was provided when the management team that was hired to run this company was required (and, obviously, agreed) to invest \$19 million of their own capital in warrants that were locked up for seven years and priced, effectively, significantly out of the money—in essence, a *negative* sign-on bonus, perhaps unique in the annals of senior executive hiring. Clearly, these insiders, with decades of industry experience and with access to all of the company’s information, believed deeply in the long-term value of these assets. This management team has made consistent progress in developing various company assets that have compounded book value and which are expected to generate an additional \$16 million in Net Operating Income when stabilized.

- **Valuation:** As of November 14, 2014, HHC shares were trading at a price to book ratio of 2.6x. While much higher than when the investment was initiated in 2010, we do not believe this decline reflects the earnings potential from assets still in development.
- **Revenue Growth:** In 2013, revenues totaled \$475 million, up 26% from 2012.
- **Index ownership:** Not held in S&P 500, S&P 400, or Russell 2000 Index
- **Balance Sheet:** Debt to equity ratio = 0.87
- **Number of analyst estimates:** 4
- **Selected Predictive Attributes:**
 - Owner-operator management: Chairman of the Board Bill Ackman (of Pershing Square L.P.) beneficially owns 13.2% of shares outstanding. As noted above, management has a significant vested interest in warrants which are not yet exercisable.
 - Dormant Assets: The company has many major assets in development or recently completed, including South Street Seaport, The Woodlands Texas, Ward Village (Hawaii), and Summerlin (Las Vegas). While some of these assets are beginning to produce cash flow, at the moment, there is little visibility into their true earnings potential.
 - Spin-Offs: HHC was spun off from GGP in 2010.
 - Long Product Lifecycle: HHC owns assets that are difficult to replace, such as the South Street Seaport and coastal property in Honolulu, Hawaii.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

Liberty Media Corporation “LMCA”) comprises the digital broadcasting, live entertainment, and print media assets of owner-operator John Malone. Liberty Media is a holding company that has often, throughout its history, traded at a discount to the fair value of its assets. Many of these assets are publicly-traded securities, the value of which are readily identifiable. There have also been operating companies held within Liberty Media that, perhaps due to the holding company structure, have been valued at a significant discount to its publicly-traded peers. The company has a stellar record of unlocking the value of these assets through various corporate actions, including spin-offs and mergers, with a particular flair for doing so in a tax-efficient manner. Exact numbers are difficult to come by due to the sheer volume of corporate actions that Liberty has undertaken over the years, but we estimate that John Malone, the Chairman of the Liberty entities and owner of a 47% voting interest in the company, has generated shareholder returns of approximately 40% per year since 1974, when Liberty was still part of TCI (“Tele-Communications Inc.”)

Today, Liberty’s holdings comprise investments in Sirius XM Holdings (NASDAQ: SIRI, 57% equity interest), and Live Nation Entertainment (NYSE: LYV, 27% interest), as the company recently spun off Liberty Broadband and its equity interest in Charter Communications, as well as the Atlanta Braves.

- **Valuation:** As of October, the value of Liberty’s publicly-traded securities was greater than the market capitalization of the company.
- **Insider ownership:** Chairman John Malone owns 0.8% of the A shares, 94.7% of the B shares, and 8.9% of the C shares, which, combined, represent 46.4% voting control of the company.
- **Index ownership:** Not held in the S&P 500, S&P 400, or Russell 2000 Index
- **Return on equity:** 85.57% for FY 2013
- **Net income growth:** 69% compound annual growth rate over the 2010-2013 period, or 653% net income growth from FY 2012 to FY 2013
- **Balance Sheet:** Debt to Equity ratio was 0.23x for FY 2013
- **Share repurchases:** Plans to finish \$2.7 billion share repurchase of Sirius shares.
- **Number of analyst estimates:** 12
- **Selected Predictive Attributes:**
 - Owner-operator management: John Malone controls nearly 40% of the company's voting interest and approximately 9% (over \$1 billion) of its economic interest.
 - Spin-Offs: Liberty Media has a long history of spin-off transactions, including the separation from Starz, which was completed in early 2013, and the spin-off of Liberty Broadband on November 4.
 - Bits & Pieces: The value of Liberty’s publicly-traded securities are worth more than the current trading value for of all of Liberty Media, even after accounting for the company’s debt.
 - Industry History: John Malone is known for being a proficient capital allocator and one with a long track record of success: he is probably most well-known for leading the wave of cable industry consolidation in the 1980s.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

Liberty Interactive Corporation (“QVCA”) is an owner-operated media and digital commerce company, with John Malone controlling a 7% economic interest and 36% voting interest. Liberty Interactive acts as another holding company under the Liberty umbrella, with this entity housing the company’s wholly-owned subsidiary QVC, Inc. (an international televised shopping network), as well as its 38% equity interest in HSN, Inc. (NASDAQ: HSNL), otherwise known as the Home Shopping Network.

In early October 2014, Liberty Interactive separated its 100% ownership of QVC and minority stake in HSN from the rest of its assets, transferring the remaining assets to Liberty Ventures. Should the market apply the same multiple to QVC that is currently being applied to HSN, the transaction will unlock significant shareholder value. Today, QVC trades at a modest multiple of free cash flow (its free cash flow yield is approximately 6%) and is in the early stages of an international expansion that is expected to grow earnings gradually over time.

- **Valuation:** EV²/EBITDA: 9.22x as of 11/19/2014 (vs. 12.05x for HSNL)
- **Index ownership:** Not held in the S&P 500, S&P 400, or Russell 2000 Index.
- **Return on equity:** 8.28% as of Q3 2014
- **Balance Sheet:** Debt to Equity Ratio: 1.33
- **Share repurchases:** Authorized to repurchase up to \$650 million of the Liberty Ventures Group tracking stock on October 9, 2014. This is in addition to the \$350 million repurchase authorization announced in August of either the QVC Group tracking stock or the Liberty Ventures tracking stock.
- **Number of analyst estimates:** 10
- **Selected Predictive Attributes:**
 - Owner-operator management: Chairman John Malone maintains a 36% voting interest.
 - Spin-Offs: Spun-off Liberty Interactive Corp. Ventures Series A in August 2012. Spun-off Liberty Ventures Series A in October 2014.
 - Scalability: Although the digital shopping business is relatively mature, Liberty continues to develop QVC and HSN’s higher-margin online and mobile shopping platforms.

² Enterprise value

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.

Viacom, Inc. (“VIAB”) is a media content company controlled by Sumner Redstone (his current ownership is 79% of the shares outstanding). It operates a number of cable programming channels, including MTV, VH1, Comedy Central, Nickelodeon, and BET. It is also one of the largest movie production companies, through its ownership of Paramount Studios. Viacom generates revenue in a variety of ways: advertising, cable programming fees, movie distribution income, and recurring licensing income from its media properties.

Viacom is largely an intellectual property-based business. As an owner of its content, it is in a position to dictate terms of distribution. As new forms of distribution have emerged (e.g., Netflix, Hulu, Amazon Prime, to name but a few), each aggressively acquiring or producing proprietary content, it has become increasingly evident that content providers are extraordinarily valuable companies. With multiple forms of distribution now available, which historically was generally confined to the cable and satellite channels, it can be argued that the investor community has overlooked the value of this proprietary content.

- **Valuation:** Viacom trades at a modest discount to the average P/E multiple of the S&P 500 Index—this is inconsistent with the underlying economic value of its assets, which include a vast library of cable programming and live action movie media properties that will generate licensing revenue for decades to come.
- **Index ownership:** Weight in S&P 500 Index: 0.15%
- **Share repurchases:** Since year-end 2005, Mr. Redstone has embarked on a strategic share repurchase program, utilizing Viacom’s substantial free cash flow, as well as borrowings. The share count during these past 8 ½ years has been reduced by over 40%, or by over 6% per year, which has been very accretive to earnings on a per-share basis for the remaining shareholders.
- **Number of analyst estimates:** 35
- **Selected Predictive Attributes:**
 - Owner-operator: Sumner Redstone owns 79% of the shares outstanding.
 - Industry History: Sumner Redstone has been active in the entertainment industry for decades.

Onex Corp. (“Onex”) is a private equity management company based in Canada, with over \$20 billion of assets under management. The company’s track record of performance is exceptional—many of its funds have achieved net internal rates of return in excess of 20%, and some in excess of 30% annually. Onex is an owner-operated company, as its founder, Gerry Schwartz, along with other members of senior management, own 21% of the total shares outstanding. Notably, members of the management team are each required to invest a portion of their annual salary in every transaction undertaken by Onex, and also purchase, during their tenure, a minimum of 1 million shares of the company that are held until individual retirement. This compensation policy compels the Onex management to have a substantial personal financial interest in the long term growth of the company.

Since its formation, Onex has invested its own capital in most transactions in which it engages. Currently, this proprietary capital amounts to over \$50 per share, meaning that the remaining \$16 billion of fee-generating, third party managed assets are assigned only \$1 billion of market value. On this basis, Onex is clearly mispriced. Despite an historical pattern of undervaluation, the company’s shares have vastly outperformed virtually every broad stock market index—for instance, over the last 20 years, Onex shares have returned 2,008% (including dividends) as compared to the cumulative 547% return of the S&P 500.

- **Valuation:** Currently, Onex’s proprietary capital amounts to over \$50 per share (or approximately \$4 billion). Effectively, therefore, the remaining \$16 billion of fee-generating, third party managed assets are assigned only \$1 billion of market value. Based on the unrealized after tax earnings produced from the management and incentive fees in the company’s funds, the market has placed a very low, single-digit P/E multiple on this asset management business.
- **Number of analyst estimates:** 7
- **Selected Predictive attributes:**
 - Owner-operator: Founder Gerry Schwartz, along with other members of senior management, own 21% of total shares outstanding
 - Industry History: The company has a track record of exceptional performance.
 - Business Model: As a money manager, Onex is a form of croupier company, which draws a fee on the transactions or capital of other parties. Whatever consolidated return the world’s investment assets, in aggregate, generate, it is net of the fees paid to asset managers. The asset manager receives those fees whether the underlying assets rise, fall, or are flat, and once the manager achieves sufficient scale that fixed costs (which are relatively minimal) are covered, the financial returns are quite high; structurally, they will exceed the returns of the underlying assets and portfolios that the manager direct.

Founded in 1980 by Charles Ergen, DISH Network ("DISH") is the largest satellite television company in the United States, with 14 million subscribers as of 12/31/13. Mr. Ergen wants to transform the company into a single entity that will provide Internet, video and phone service for both home and mobile applications (i.e., triple-play strategy). Indeed, the company is working to add terrestrial mobile broadband services ("quadruple play"), which if enabled would propel it to compete with the likes of Verizon Communications. To this end, the company has focused on acquisitions, most notably in wireless spectrum. For example, in 2012, DISH purchased two companies with wireless spectrum: DBSD North America and TerreStar out of bankruptcy for a combined total of \$2.85 billion.

These acquisitions were plays on an anticipated scarcity of wireless spectrum owing to the rapid increase in mobile data usage. It is perhaps no coincidence that substantially all of the available spectrum in recent years has been acquired not by traditional corporate entities, but by entrepreneurs/owner-operators. Other large spectrum owners include John Malone, through Liberty Media's Sirius XM Satellite Radio, and Mark Dankberg through ViaSat.

The company has received FCC approval to utilize the spectrum acquired to provide mobile wireless services, and is actively working towards becoming a wireless provider. Although it has proven more difficult to penetrate this business than originally envisioned, DISH is nonetheless slowly making progress. If its quest to become a competitive wireless company ultimately fails, the endeavor would not be financially disastrous, given that the spectrum owned is highly valuable due to scarcity; it would likely fetch a price in excess of the cost in a public sale. Indeed, the most recent auction of wireless spectrum conducted by the U.S. Federal Communications Commission yielded a record total of \$34 billion, which was twice the amount of the previous record and three times the expected amount.

- **Valuation:** In addition to the satellite television subscription business, DISH owns a significant amount of wireless spectrum. Following a recent FCC wireless spectrum auction, the market began to realize the value of this spectrum, driving an increase in DISH's share price. As DISH begins to monetize this asset, the shares have the potential to appreciate further.
- **Index ownership:** Not held in S&P 500, S&P 400, or Russell 2000
- **Number of analyst estimates:** 27
- **Selected Predictive attributes:**
 - Owner-operator: Mr. Ergen founded DISH in 1980, and controls 50% of the company's A shares and 93% of the B shares.
 - Dormant assets: DISH owns wireless spectrum, to which the market has, until recently, assigned little value. In November, the FCC conducted an auction of wireless spectrum, which provided a point of reference for valuing the asset.

DISCLAIMER

This information is being provided in response to your specific request and is not approved for general distribution. This information should not be used as a general guide to investing or as a source of any specific investment recommendations, and makes no implied or expressed recommendations concerning the manner in which an account should or would be handled, as appropriate investment strategies depend upon specific investment guidelines and objectives. This is not an offer to sell or a solicitation to invest.

This information is intended solely to report on investment strategies implemented by Horizon Kinetics LLC, through its registered investment advisory subsidiaries. Opinions and estimates offered constitute our judgment and are subject to change without notice, as are statements of financial market trends, which are based on current market conditions. Holdings referenced are current as of the stated date, but may change at any time without notice. Under no circumstances does the information contained within represent a recommendation to buy, hold or sell any security, and it should not be assumed that the securities transactions or holdings discussed were or will prove to be profitable. There are risks associated with purchasing and selling securities and options thereon, including the risk that you could lose money.

Horizon Kinetics LLC is the parent company to several US registered investment advisers, including Horizon Asset Management LLC (“Horizon”) and Kinetics Asset Management LLC (“Kinetics”). Horizon, Kinetics, their respective employees and affiliates, in addition to the accounts and pooled products they manage, may hold certain of the securities mentioned herein. For more information on Horizon Kinetics, you may visit our website at www.horizonkinetics.com.

No part of this material may be: a) copied, photocopied, or duplicated in any form, by any means; or b) redistributed without Horizon Kinetics’ prior written consent.

Source: Horizon Kinetics Research, Company Reports, Bloomberg. See important disclosures at the back.